

# Retire complacency: Turn 2025 insights into 2026 action

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## Retire complacency: Turn 2025 insights into 2026 action

As we enter 2026, Franklin Templeton is proud to share a summary of our 2025 Retirement Insights. This year's thought leadership focused on legislative changes, advisor development, investment strategy, participant guidance and workplace benefits.

It is an exciting time to be a retirement plan advisor. Our business is robust and growing. The number of American workers we can serve is increasing.

Below are some highlights on how to leverage our insights for your success. Dive into the links below to discover how to apply these insights to implement a robust and forward-thinking strategy for 2026.

### Legislative and regulatory changes

More SECURE 2.0 retirement enhancements to kick in this year(February 2025) Focuses on the 2025 impact of SECURE 2.0.

Automatic enrollment: New 401(k)/403(b) plans must auto-enroll employees at 3%, escalating to 15%.

Higher catch-up contributions: Individuals aged 60-63 can contribute \$10,000 or 50% more than standard catch-up limits.

Improved access: Part-time workers qualify after two years; a national database will help locate lost accounts.

Insights into 2026 action: Review clients' and prospects' plan designs now to ensure compliance and plan design optimization.

### Advisor development and practice management

Empowering financial advisors: training and retaining talent(February 2025) Focuses on finding and retaining next-gen talent.

Growing demand: Retirement assets are projected to hit \$52 trillion by 2029; advisor expertise is critical.

Training strategies: Combine comprehensive education, hands-on experience, and relationship-building.

Retention focus: Strong advisor-client trust drives long-term success.

Insights into 2026 action: Invest in advisor training programs and leverage partnerships with third-party administrators, recordkeepers, and asset managers.

### Investment strategy and risk management

Why stable value is critical in retirement plan menus(April 2025) Focuses on the importance of evaluation capital preservation options.

Capital preservation: Stable value funds can offer price stability and inflation-beating returns.

Interest-rate impact: Changing rates make capital preservation choices more significant.

Plan design: Sponsors must evaluate risk/return trade-offs for long-term outcomes.

Insights into 2026 action: Now is the time to assess your plan's capital preservation options to align with today's interest-rate environment.

### Rate decision implications: why stable value funds matter for retirement savers(September 2025)

Federal Reserve (Fed) policy shift: Rate cuts may revive stable value funds' appeal over money markets.

Advantages: Price stability, inflation-beating returns, and liquidity.

Timing: Sponsors should act now to ensure portfolios are resilient.

Insights into 2026 action: Considering recent Fed interest-rate cuts, evaluate stable value options as part of your plan's risk management strategy.

Why glide path selection deserves more attention in target-date fund evaluation Why glide path selection deserves more attention in target-date evaluation (June 2025)

Glide path matters: Determines risk allocation throughout a participant's career.

Beyond labels: "To vs. through" and "aggressive vs. conservative" are oversimplifications and potentially misleading.

Outcome focus: Match glide paths to participant demographics and risk tolerance.

Insights into 2026 action: Retire the ordinary by conducting a glide path review to ensure target-date alignment with participant needs and plan objectives.

How target date funds may help keep your 401(k) strategy on track How target date funds may help you keep your 401(k) strategy on track (September 2025)

Behavioral finance: Automation helps participants avoid emotional decisions during volatility.

Risk management: Glide paths reduce equity exposure near retirement to mitigate sequence risk.

Diversification: Strategic and tactical allocations enhance resilience.

Insights into 2026 action: Retire complacency by educating sponsors and participants on the benefits of target-date funds for long-term investment success.

## **Participant guidance and behavioral coaching**

How to Keep Your 401(k) on Track Amid Dire News Alerts How to keep your 401(k) on track amid dire news alerts (July 2025)

Ignore headlines: Market timing may destroy wealth; long-term discipline wins.

Automate contributions: Consistent investing beats reactionary moves.

Diversify: Maintain a strategic allocation to weather volatility.

Insights into 2026 action: Encourage participants to stay the course and leverage automated savings tools.

Turn anxiety into engagement: how advisors can support retirement plan savers during a shutdown (October 2025)

Shutdown impact: Market volatility and delayed economic data heighten participant anxiety.

Advisor role: Provide reassurance and historical context to prevent reactionary decisions.

Engagement opportunity: Use uncertainty to deepen relationships and reinforce long-term planning.

Insights into 2026 action: Proactively communicate with participants during periods of uncertainty and volatility to build trust.

## **Workplace benefits and enrollment**

Eight steps to help get you through the open enrollment jungle at work Eight steps to help get you through the Open Enrollment jungle at work (November 2025)

Review current benefits: Assess what worked and what did not before making changes.

Compare plans: Evaluate premiums, deductibles and coverage carefully.

Leverage resources: Use human resource tools and informational sessions to make informed decisions.

Insights into 2026 action: Make sure employers and employees know you are available for benefits questions that go beyond retirement questions. Be your clients' first call when it comes to as many financial and benefits decisions as possible.

Ready to win more 401(k) business in 2026?

Franklin Templeton's 2025 thought leadership and practice management equips you with actionable strategies to grow your practice, deepen client relationships and deliver better retirement outcomes. We are your trusted partner for what's ahead. Let's make 2026 your best year yet—review these insights, take action, and reach out to our Retirement Team for partnership opportunities.

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Stable value funds seek capital preservation, but there can be no assurances that they will achieve this goal. Stable value funds' returns will fluctuate with interest rates and market conditions. The funds are not insured or guaranteed by any governmental agency. Funds that invest in bonds are subject to certain risks including interest-rate risk, credit risk, and inflation risk. As interest rates rise, the prices of bonds fall. Long-term bonds are more exposed to interest-rate risk than short-term bonds. Unlike bonds, bond funds have ongoing fees and expenses.

Diversification does not guarantee a profit or ensure against loss. It is possible to lose money in a diversified portfolio.

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